

HSBC Holdings plc

Q1'16: Revenue beats consensus estimate, but credit cost & capital slightly disappoint

HSBC's Q1'16 results were mixed with adj. PBT of \$5.4bn down 21% y/y and 9% below JPMe, but 11% ahead of company consensus. Revenue (\$13.9bn) and Costs (\$7.9bn) were in line with JPMe, but 2% and 6% better than consensus. The group's performance was resilient in tough market conditions for the sector and management reiterated a focus on Costs and disposals (Brazil) as part of strategy. Despite the performance on Revenues and Costs, Impairments came in higher than expected at \$1.2bn (50bps) & CT1 was 20bp below expectations at 11.9%. Asia continues to drive profitability, generating \$3.5bn PBT helped by low impairment (22bps). Shares trade at 0.9x P/TNAV for 8.2% RoNAV and 11x 2018 PE, and we prefer StanChart at 0.6x P/TNAV.

- Q1 results summary:** Clean PBT of \$5.4bn is 11% above cons but 9% below JPMe. Relative to expectations: i) Revenues of \$13.9bn are 2% above cons and in line with JPMe, ii) Costs of \$7.9bn are 6% lower than cons and in line with JPMe, iii) Provisions of \$1.2bn are 16% higher than cons and 47% above JPMe. Within divisions at the PBT level, Europe was a miss at \$1bn vs JPMe \$1.3bn (driven by GBM), Asia \$3.5bn a slight miss against JPMe \$3.6bn, Mid East \$0.5bn was ahead of JPMe \$0.4bn, North America \$0.4bn was below JPMe \$0.5bn, and Lat Am \$63m was well below JPMe.
- Revenue & Costs Inline:** Q1 adj. revenues declined -4% y/y on a constant currency basis to \$13.9bn. Within divisions and on a constant currency basis, i) Principal RBWM revenues are -5% y/y due to weakness in WM and partly offset by growth in personal lending products, ii) CMB revenues are +2% y/y driven by growth in payments & cash management & UK loan growth, and iii) Client facing GBM revenues are -7% y/y due to lower client activity. Q1 clean costs of \$7.9bn are -1% y/y on a constant currency basis. The group has updated its FY17 clean costs target to \$29.1bn ex levy for FX mark to market, which is broadly in line with JPMe (\$30.1bn incl. levy in FY17).
- Impairments:** Impairments of \$1.2bn were up \$0.7bn y/y due to increases in GBM, CMB and RBWM businesses. Relative to expectations, Asia (\$0.2bn, 22bps) and MENA (28m, 37bps) impairments were lower than JPMe, whereas Europe (\$0.2bn, 17bps), North America (\$0.3bn, 105bps) and LatAm (\$0.4bn, 99bps) impairments were higher than JPMe. The group booked further provisions of \$0.2bn on Oil & Gas and Metals & Mining.
- Capital and TNAV:** HSBC reported CT1 of 11.9% (flat q/q) vs JPMe and cons 12.1%. TNAV/s increased 1% to \$7.59.

HSBC Holdings plc (Reuters: 0005.HK, Bloomberg: 5 HK)

\$ in mn, year-end Dec	FY13A	FY14A	FY15A	FY16E	FY17E
Net Profit (\$ mn)	15,631	13,119	12,573	10,405	9,360
Adj EPS (\$)	0.83	0.85	0.74	0.65	0.56
DPS (\$)	0.49	0.50	0.51	0.51	0.51
ROE	9.1%	9.2%	8.2%	7.5%	6.6%
P/E (x)	8.0	7.9	9.1	10.3	11.9
BVPS (\$)	9.27	9.24	8.73	8.64	8.49
P/BV (x)	0.7	0.7	0.8	0.8	0.8
Dividend Yield	7.3%	7.5%	7.6%	7.6%	7.6%

Source: Company data, Bloomberg, J.P. Morgan estimates.

See page 7 for analyst certification and important disclosures, including non-US analyst disclosures.

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Neutral

0005.HK, 5 HK

Price: HK\$51.80

Price Target: HK\$48.00

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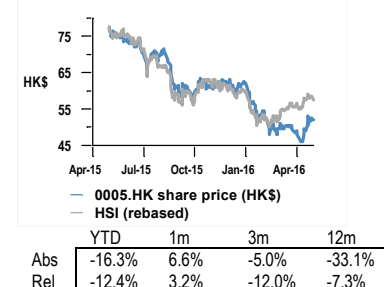
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Price Performance



Conference call at 3:15PM HK

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Company Data

Market Cap (\$ mn)	128,320
Shares O/S (mn)	19,218
Fiscal Year End	Dec
Price (HK\$)	51.80
Date Of Price	29 Apr 16
3M - Avg daily val (HK\$ mn)	1,355.13
3M - Avg daily val (\$ mn)	174.7
3M - Avg daily vol (mn)	27.21
HSI	21,388.03
Exchange Rate	7.76

Key catalyst for the stock price: • Rising probability of EM credit cycle being priced in valuation • Revenue pressure persists despite rising US rates • Little or no DPS growth, given EPS downside risk	Upside risks to our view: • Higher-than-expected revenue growth • Slower rise in EM provisions • Outperformance of cost targets	Downside risks to our view: • Worse than expected macro and credit costs • NIM pressures • Litigation risks
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Key financial metrics	FY14	FY15	FY16E	FY17E
NII (LC)	35,360	32,580	30,205	29,740
Total revenue (LC)	62,005	57,766	52,900	52,219
Revenue growth (%)	0	0	0	0
Costs (LC)	37,884	-36,183	32,446	30,054
PPOP (LC)	24,121	21,583	20,453	22,165
LLP (LC)	-3,851	-3,721	-3,668	-4,735
Net income (LC)	13,119	12,573	10,405	9,360
NIMs (%)	1.33%	1.29%	1.27%	1.25%
Non-III/Revenue (%)	43%	44%	43%	43%
CIR (%)	61%	63%	61%	58%
Costs/Assets (%)	1.43%	1.43%	1.36%	1.26%
PPOP/Assets (%)	0.91%	0.86%	0.86%	0.93%
LLP/Loans (%)	0.37%	0.39%	0.39%	0.50%
ROA (%)	0.61%	0.57%	0.55%	0.49%
ROE (%)	8.7%	7.6%	6.9%	6.0%
NPL ratio (%)	3.2%	2.8%	2.6%	2.7%
NPL coverage (%)	41.9%	41.3%	41.9%	45.8%

Key model assumptions	FY14	FY15	FY16E	FY17E
Net interest margin	1.33%	1.29%	1.27%	1.25%
Asset growth	-1%	-9%	-2%	3%
Credit cost	0.37%	0.39%	0.39%	0.50%

Source: Company and J.P. Morgan estimates.

Sensitivity analysis	PPOP		EPS	
Sensitivity to	FY16E	FY17E	FY16E	FY17E
10bps increase in NIM	11%	10%	14%	16%
5% chg in asset growth	8%	7%	10%	10%
5% chg in non-NII growth	6%	5%	7%	8%
10bps increase in credit cost	-	-	-6%	-7%

Source: J.P. Morgan estimates.

Comparative metrics

	Price	Mkt	P/E		P/BV		ROE		YTD
	LC	Cap \$Mn	FY16E	FY17E	FY16E	FY17E	FY16E	FY17E	Stock perf.
HSBC	51.8	130,731	12.9	14.8	0.8	0.8	6.0%	5.3%	-16.3%
Standard Chartered	63.65	26,580	-186.4	11.7	0.6	0.6	-0.3%	4.9%	-2.7%

Source: Bloomberg, J.P. Morgan estimates. Prices are as of Apr 29, 2016.

Valuation and price target basis

Our Dec-16 PT of HK\$48 is derived from a combination of (i) a sum-of-the-parts based on fair values of each of the 5 markets, which we think is in-line with how European investors look at the stock (implies HK\$44); and (ii) a DDM analysis, where we forecast normalized ROE of 8.7% and a cost of capital of 10%, in-line with how we think Asia investors look at the stock (implies HK\$53).

PT Derivation

SOTP based Valuation	Earnings	Value	Per share (HK\$)
Group post tax Underlying Earnings	117,368	1,212,306	60
Corporate Activities	-18,753	-187,528	-9
Capital Excess/Shortfall	0	-48,516	-2
Price Target (Dec 2017E)	98,615	976,263	48
Price Target (Dec 2016E)			HK\$44
P/BV-based Valuation			
Cost of capital			10.0%
Long-term growth			3.0%
Fair P/BV			0.82
Normalised ROE			8.7%
PV of Terminal Value			HK\$49
PV of Dividends			HK\$8
Implied Value (Dec 2017E)			HK\$57
Implied Value (Dec 2016E)			HK\$52

Source: Bloomberg, Company and J.P. Morgan estimates.

JPM vs. consensus, change in estimates

EPS	FY16E	FY17E
JPM old	0.67	0.58
JPM new	0.65	0.56
% chg	-3%	-3%
Consensus	0.63	0.66

Source: Bloomberg, J.P. Morgan estimates. 3% -15%

Balance sheet: Loans declined \$8.6bn in the quarter (-1% q/q) driven by reduction in US legacy portfolios (CML -\$4.9bn) and \$10bn decline in Asia (lower trade lending from weaker demand, falling commodity prices and repayments in GBM), partly offset by \$7.0bn growth in Europe (primarily CMB and GBM). RWAs of \$1115bn were 2% above JPMe \$1098bn. The movement in RWAs was driven by \$16bn rise from growth, \$9bn rise due to deteriorating book quality, \$6bn rise from FX and a \$15bn fall due to the group's RWA initiatives.

Table 1: HSBC: 1Q16 results summary

\$ million

HSBC Group	1Q15	2Q15	3Q15	4Q15	1Q16A	1Q16 cons	1Q16E	y/y	vs cons	vs JPMe
Underlying revenues	15,406	15,366	14,044	12,950	13,914	13,679	13,928	-10%	2%	0%
Underlying costs (inc levy)	-8,526	-9,116	-8,584	-9,958	-7,874	-8,385	-7,838	-8%	-6%	0%
Pre-provision profit	6,880	6,250	5,460	2,992	6,040	5,294	6,090	-12%	14%	-1%
Loan loss provision charge	-570	-869	-638	-1,644	-1,161	-999	-788	104%	16%	47%
Operating profit before tax	6,310	5,381	4,822	1,348	4,879	4,295	5,302	-23%	14%	-8%
Associate income	582	729	689	556	555	590	669	-5%	-6%	-17%
Clean pretax profit	6,892	6,110	5,511	1,904	5,434	4,885	5,970	-21%	11%	-9%
Exceptionals and other one-offs (inc CTA)	167	459	587	-2,762			-250			
Pre-tax profit	7,059	6,569	6,098	-858	6,106	4,304	5,720			
Tax charge	-1,367	-1,540	-634	-230	-1,571		-1,027			
Net profit after tax	5,692	5,029	5,464	-1,088	4,535		4,693			
Minority interest charge	-433	-670	-234	-237	-234		-334			
Net profit reported	5,259	4,359	5,230	-1,325	4,301		4,359			
Pref debt charge	-170	-258	-258	-264			-250			
Net profit attributable	5,089	4,101	4,972	-1,589			4,109			
DPS (\$)	0.10	0.10	0.10	0.21	0.10		0.10			
TNAV/sh (\$)		7.81	7.73	7.49	7.59		7.49			
B3 CET1 ratio	11.2%	11.6%	11.8%	11.9%	11.9%	12.1%	12.1%			

Source: J.P. Morgan estimates, Company data.

Table 2: HSBC: Group P&L estimates

\$ million

	FY14	FY15	FY16E	FY17E	FY18E
Net Interest Income	35,360	32,580	30,205	29,740	31,555
Non Interest Income	26,645	25,186	22,695	22,479	23,007
Total clean Revenues	62,005	57,766	52,900	52,219	54,563
Total clean costs	-37,884	-36,183	-32,446	-30,054	-30,081
Pre Provision Operating profit	24,121	21,583	20,453	22,165	24,481
Provisions	-3,851	-3,721	-3,668	-4,735	-5,449
Associates and JVs	2,532	2,556	2,675	548	567
Clean PBT	22,802	20,418	19,460	17,979	19,599
FVOD	-763	1,002	0	0	0
Exceptionals ex FVOD and restructuring	-3,077	-1,439	-1,000	-1,000	-500
Restructuring costs	-278	-1,113	-2,500	-2,000	-500
PBT	18,684	18,868	15,960	14,979	18,599
Tax	-3,975	-3,771	-3,216	-3,227	-4,052
Profit after Tax	14,709	15,097	12,743	11,751	14,547
Minority Interest	-1,017	-1,574	-1,338	-1,391	-1,461
Dividend payable on prefs classified as equity/ AT1	-573	-950	-1,000	-1,000	-1,000
Net Attributable to ordinary shareholders	13,119	12,573	10,405	9,360	12,086
Headline EPS	\$ 0.70	\$ 0.65	\$ 0.52	\$ 0.45	\$ 0.57
Adjusted EPS	\$ 0.86	\$ 0.74	\$ 0.65	\$ 0.56	\$ 0.60
NAVps	\$ 7.80	\$ 7.48	\$ 7.51	\$ 7.39	\$ 7.39
RoNAV	11.1%	9.3%	8.7%	7.6%	8.2%
DPS	\$ 0.50	\$ 0.51	\$ 0.51	\$ 0.51	\$ 0.51
Basel III CET1 ratio	11.1%	11.9%	12.8%	13.1%	13.4%

Source: J.P. Morgan estimates, Company data.

Investment Thesis, Valuation and Risks

HSBC Holdings plc (Neutral; Price Target: HK\$48.00)

Investment Thesis

Our cautious view on HSBC since the start of the year has been driven by our below consensus revenue growth forecasts (JPMe 4% below bbg cons 2017 revs) and our concern that a normalization of the EM NPL cycle was not fully reflected in valuation. With the revenue environment continuing to deteriorate, we see further downside to consensus EPS forecasts (JPMe 18% below Bbg cons 2017) which are likely to weigh on the dividend yield support (8.6% un-adj). We believe that an ordinary & special dividend framework may be better suited to analyze the sustainability of HSBC's dividend with our current forecasts leading us to 34c ordinary dividend viewed as sustainable, with the remainder 17c viewed as a special dividend subject to regulatory and cyclical earnings uncertainty. With HSBC shares trading at 0.8x P/TNAV, we prefer STAN for EM recovery.

Valuation

Our Dec-16 PT of HK\$48 is derived from a combination of: (i) a sum-of-the-parts based on fair values of each of the 5 markets, which we think is in-line with how European investors look at the stock (implies HK\$44); and (ii) a DDM analysis, where we forecast normalized ROE of 8.7% and a cost of capital of 10%, in-line with how we think Asia investors look at the stock (implies HK\$52).

Risks to Rating and Price Target

The key upside risks that could prevent our rating and price target from being achieved include the following:

1. **Macroeconomic risks:** Being a Global bank, HSBC is exposed to general macroeconomic variables such as a quicker-than-expected recovery in GDP growth, inflationary pressures, FX & cross border & political risks.
2. **Higher-than-expected revenue growth:** Higher-than-expected revenue growth will pose upside risk to our investment case given our concern on the impact of RWA restructuring on revenues.
3. **EM provisions:** A slower-than-expected increase in EM provisions may pose an upside risk to our investment case as we believe the outlook for impairments could become increasingly challenging over the next 12 months.
4. **Outperformance on cost targets:** HSBC has guided for flat costs during FY14-FY17 and an outperformance on the targets will pose an upside risk.

HSBC Holdings plc: Summary of Financials

Income Statement						Growth Rates					
\$ in millions, year end Dec	FY14	FY15	FY16E	FY17E	FY18E		FY14	FY15	FY16E	FY17E	FY18E
NIM (as % of avg. assets)	1.4%	1.4%	1.4%	1.3%	1.4%	Loans	(9.9%)	(5.4%)	(0.6%)	2.9%	3.0%
Earning assets/assets	95.1%	94.5%	93.8%	93.8%	94.0%	Deposits	(8.9%)	(4.5%)	(0.3%)	2.9%	3.1%
Margins (as % of Avg. Assets)	1.3%	1.3%	1.3%	1.2%	1.3%	Assets	(1.4%)	(8.5%)	(2.3%)	2.8%	2.9%
						Equity	1.7%	(3.1%)	2.0%	1.2%	2.6%
Net Interest Income	35,360	32,580	30,205	29,740	31,555	RWA	0.4%	(9.6%)	(4.8%)	(0.8%)	0.6%
Total Non-Interest Income	26,645	25,186	22,695	22,479	23,007	Net Interest Income	(0.5%)	(7.9%)	(7.3%)	(1.5%)	6.1%
Fee Income	0	0	0	0	0	Non-Interest Income	(3.2%)	(5.5%)	(9.9%)	(1.0%)	2.3%
Dealing Income	0	0	0	0	0	of which Fee Grth	(100.0%)	-	-	-	-
						Revenues	(1.7%)	(6.8%)	(8.4%)	(1.3%)	4.5%
Total operating revenues	62,005	57,766	52,900	52,219	54,563	Costs	2.1%	(4.5%)	(10.3%)	(7.4%)	0.1%
						Pre-Provision Profits	(7.1%)	(10.5%)	(5.2%)	8.4%	10.4%
Operating costs	(37,884)	(36,183)	(32,446)	(30,054)	(30,081)	Loan Loss Provisions	(34.2%)	(3.4%)	(1.4%)	29.1%	15.1%
Pre-Prov. Profits	24,121	21,583	20,453	22,165	24,481	Pre-Tax	(17.2%)	1.0%	(15.4%)	(6.1%)	24.2%
Provisions	(3,851)	(3,721)	(3,668)	(4,735)	(5,449)	Attributable Income	(16.1%)	(4.2%)	(17.2%)	(10.1%)	29.1%
Other Inc	0	0	0	0	0	EPS	(17.8%)	(6.4%)	(19.7%)	(12.7%)	25.4%
Other Exp.	(763)	1,002	0	0	0	DPS	2.0%	2.0%	0.0%	0.0%	0.0%
Exceptionals	(3,355)	(2,552)	(3,500)	(3,000)	(1,000)						
Associate	2,532	2,556	2,675	548	567	Balance Sheet Gearing					
Pre-tax	18,684	18,868	15,960	14,979	18,599	Loan/deposit	72.2%	71.7%	71.4%	71.2%	71.0%
Tax	(3,975)	(3,771)	(3,216)	(3,227)	(4,052)	Investment/assets	40.4%	40.8%	38.8%	37.0%	35.9%
Minorities	(1,017)	(1,574)	(1,338)	(1,391)	(1,461)	Loan/Assets	39.3%	38.1%	39.1%	39.5%	39.5%
Attributable Income	13,119	12,573	10,405	9,360	12,086	Customer deposits/liab.	55.5%	58.3%	59.7%	59.7%	59.7%
						LT debt/liabilities	36.9%	37.0%	34.0%	33.3%	33.5%
Per Share Data USD						Asset Quality/Capital					
EPS	0.69	0.64	0.52	0.45	0.57	Loan loss reserves/loans	(1.3%)	(1.0%)	(1.1%)	(1.4%)	(1.6%)
DPS	0.50	0.51	0.51	0.51	0.51	NPLs/loans	3.2%	2.8%	2.6%	2.7%	3.0%
Payout	72.6%	79.2%	98.6%	113.0%	90.1%	Loan loss reserves/NPLs	41.9%	41.3%	41.9%	45.8%	49.7%
Book value	9.24	8.73	8.64	8.49	8.46	Growth in NPLs	(19.5%)	(18.9%)	1.3%	12.5%	12.5%
Fully Diluted Shares	19,056	19,517	20,123	20,731	21,354	Tier 1 Ratio	11.1%	11.9%	12.8%	13.1%	13.4%
PPOP per share	1.27	1.11	1.02	1.08	1.15	Total CAR	11.1%	11.9%	12.8%	13.1%	13.4%
Key Balance sheet \$ in millions						Du-Pont Analysis					
Net Loans	974,660	924,454	918,104	942,695	969,131	NIM (as % of avg. assets)	1.4%	1.4%	1.4%	1.3%	1.4%
LLR	(12,386)	(9,573)	(10,468)	(12,991)	(15,637)	Earning assets/assets	95.1%	94.5%	93.8%	93.8%	94.0%
Gross Loans	987,046	934,027	928,572	955,686	984,769	Margins (as % of Avg. Assets)	1.3%	1.3%	1.3%	1.2%	1.3%
NPLs	29,330	23,778	24,091	27,106	30,494	Non-Int. Rev./ Revenues	43.0%	43.6%	42.9%	43.0%	42.2%
Investments	1,093,705	966,120	882,475	882,794	882,341	Non IR/Avg. Assets	1.0%	1.0%	1.0%	0.9%	0.9%
Other earning assets	101,777	124,709	124,709	124,709	124,709	Revenue/Assets	2.3%	2.3%	2.2%	2.2%	2.2%
Avg. IEA	2,522,131	2,382,564	2,233,833	2,240,117	2,308,271	Cost/Income	61.1%	62.6%	61.3%	57.6%	55.1%
Goodwill	27,577	24,605	22,872	22,872	22,872	Cost/Assets	1.4%	1.4%	1.4%	1.3%	1.2%
Assets	2,634,139	2,409,656	2,354,905	2,420,489	2,491,214	Pre-Provision ROA	0.9%	0.9%	0.9%	0.9%	1.0%
						LLP/Loans	(0.4%)	(0.4%)	(0.4%)	(0.5%)	(0.6%)
Deposits	1,350,642	1,289,586	1,286,046	1,323,715	1,364,209	Loan/Assets	39.3%	38.1%	39.1%	39.5%	39.5%
Long-term bond funding	948,527	769,563	714,974	740,772	766,378	Other Prov. Income/ Assets	(0.1%)	0.0%	(0.0%)	(0.1%)	(0.0%)
Other Borrowings	-	-	-	-	-	Operating ROA	0.8%	0.7%	0.7%	0.7%	0.8%
Avg. IBL	2,323,386	2,179,159	2,030,085	2,032,754	2,097,537	Pre-Tax ROA	0.7%	0.7%	0.7%	0.6%	0.8%
Avg. Assets	2,652,729	2,521,898	2,382,281	2,387,697	2,455,851	Tax rate	21.3%	20.0%	20.2%	21.5%	21.8%
Common Equity	177,510	171,943	175,321	177,438	182,063	Minorities & Outside Distbn.	0.7%	1.0%	1.1%	1.1%	1.0%
RWA	1,219,800	1,103,000	1,050,342	1,042,094	1,048,022	ROA	0.6%	0.6%	0.5%	0.5%	0.5%
Avg. RWA	1,217,370	1,161,400	1,076,671	1,046,218	1,045,058	RORWA	1.3%	1.2%	1.2%	1.1%	1.2%
						Equity/Assets	6.6%	6.9%	7.3%	7.4%	7.3%
						ROE	9.2%	8.2%	7.5%	6.6%	7.1%

Source: Company reports and J.P. Morgan estimates.

JPM Q-Profile

HSBC Holdings plc (BRITAIN / Financials)

As Of: 21-Apr-2016

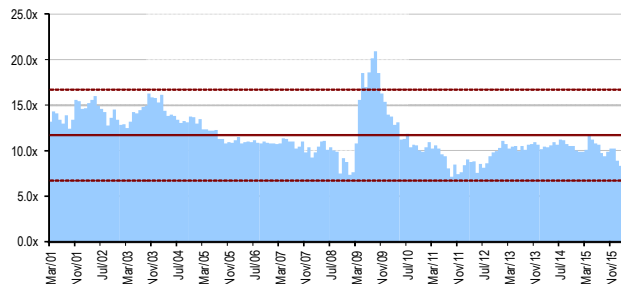
Local Share Price

Current: 52.90



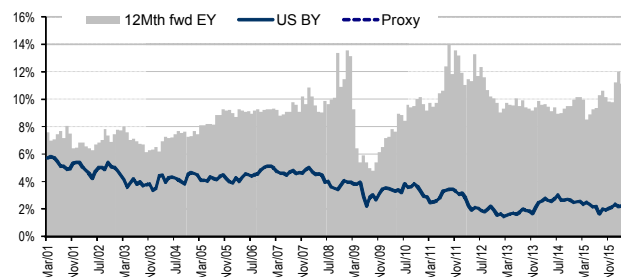
PE (1Yr Forward)

Current: 10.2x



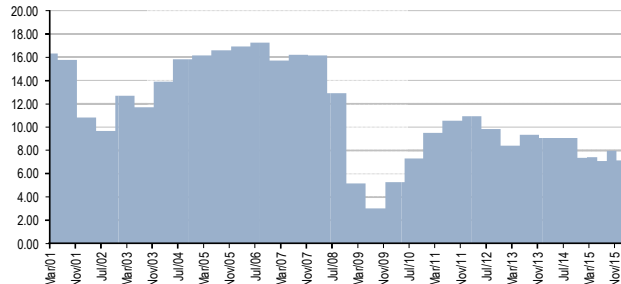
Earnings Yield (& Local Bond Yield)

Current: 9.85%



ROE (Trailing)

Current: 7.14

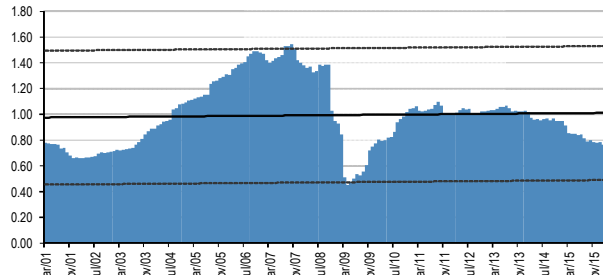


Global Equity Quantitative Analysis

Quant_Strategy@jpmorgan.com

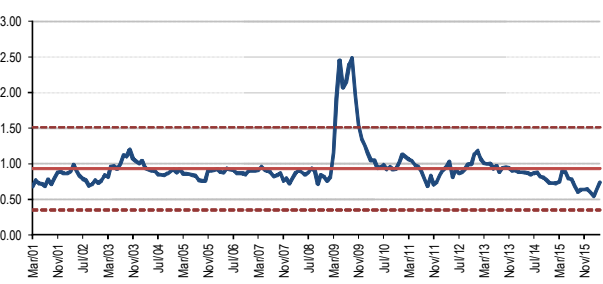
12 Mth Forward EPS

Current: 0.67



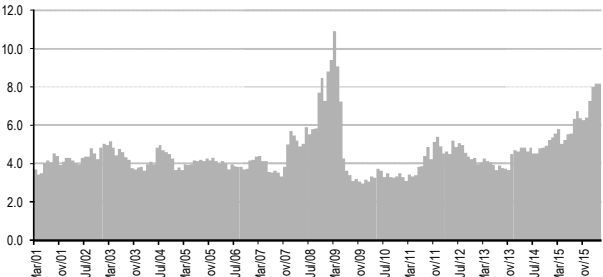
P/E Relative to Great Britain Index

Current: 0.74



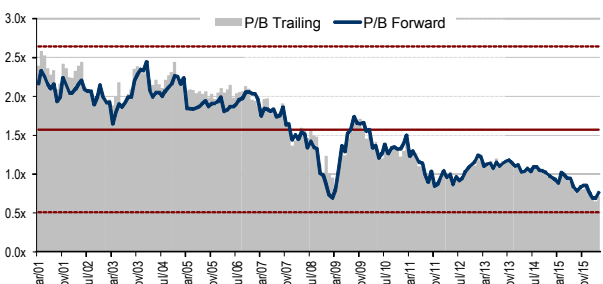
Dividend Yield (Trailing)

Current: 8.17



Price/Book (Value)

Current: 0.7x



Summary

HSBC Holdings plc

BRITAIN

Financials

TICKER 5 HK

As Of: 21-Apr-16

Local Price: 52.90

EPS: 0.67

	Latest	Min	Max	Median	Average	2 S.D.+	2 S.D. -	% to Min	% to Max	% to Med	% to Avg
12mth Forward PE	10.15x	7.14	20.90	10.92	11.70	16.71	6.70	-30%	106%	8%	15%
P/BV (Trailing)	0.71x	0.65	2.58	1.50	1.58	2.65	0.51	-9%	262%	111%	121%
Dividend Yield (Trailing)	8.17	2.95	10.90	4.25	4.58	7.12	2.04	-64%	33%	-48%	-44%
ROE (Trailing)	7.14	3.02	17.24	10.86	11.37	19.40	3.35	-58%	142%	52%	59%

Source: Bloomberg, Reuters Global Fundamentals, IBES CONSENSUS, JPMorgan Quantitative & Derivative Strategy

Other Companies Discussed in This Report (all prices in this report as of market close on 29 April 2016)
Standard Chartered Plc (HK) (2888.HK/HK\$63.65/Overweight)

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15-Sep-15	OW	85.85	126.00
08-Dec-15	OW	60.85	113.00
12-Feb-16	OW	46.00	80.00
24-Feb-16	OW	44.75	75.00

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IB clients*	53%	49%	34%
JPMS Equity Research Coverage	43%	48%	9%
IB clients*	71%	63%	49%

*Percentage of investment banking clients in each rating category.

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